



The Unreliable Promoter

While the government is happy to sell shares of its companies in the public market to raise money when required, it has nothing but rank disrespect for the rights of other shareholders. For decades, it has run roughshod over them in listed PSUs

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26 | EVERY YEAR, the Finance Minister lays out an annual target for receipts from divestment of PSU shares, a number missed by a wide margin by the end of year, nearly every time. This is regardless of market conditions, buoyant or sluggish. Among many contributing factors, a paramount one is that most investors, and indeed businessmen, regard the Government of India (GoI) as an unreliable promoter, capable of utterly capricious behaviour to the detriment of minority shareholders. In this, the GoI has been remarkably consistent, regardless of which dispensation is in power. It is this tendency that has resulted in the sustained underperformance of PSU stocks over the decades and made global and local businessmen wary of buying state-owned assets.

The latest, and glaring, example of this is the ongoing saga of fuel prices and the proposed disinvestment of BPCL. Global crude prices have shot through the roof in response to the crisis

in Ukraine, yet retail prices of fuel had not been raised since November 2021, till recently. State-owned oil companies have bled billions in this period and some private oil retailers were on the verge of shutting shop. When asked why prices had not been raised, the Finance Minister scoffs at the question saying she couldn't possibly think only about the fate of BPCL or oil marketing companies while deciding on such matters, having loftier issues such as inflation to keep in mind. This churlish response was both surprising—as it was her predecessor Arun Jaitley who had announced the deregulation of diesel prices to rapturous applause from the business community in October 2014—and disingenuous, as the real reason is obviously the key state elections which held the government back from raising fuel prices.

The stock of BPCL is down a quarter since fuel prices were frozen but that is at best a side issue as minority shareholders are by now used to the vagaries of owning PSU oil companies. The bigger problem is that any prospective buyer of BPCL would probably think several times before buying an asset where it has no control on product pricing, potentially standing to lose millions of dollars every time an important election comes around, if the price of crude

were to misbehave for some reason. For decades, the government has run roughshod over other shareholders in publicly listed PSUs, sometimes taking arbitrary decisions totally inimical to their interests, often even forcing them to run down their balance sheets by buying stakes in other PSU companies to serve its own interests. No business in its right mind could bid for BPCL in such a scenario.

Similar questions plague the prospects of India's largest IPO, the upcoming one of LIC. The country's largest insurer has often been used as a pawn by the finance ministry to bail itself out of sticky situations. When the public issues of struggling insurance companies New India Assurance and General Insurance Corporation needed bailing out, it was inevitably LIC which was called upon to do the honours. Likewise, when the ailing IDBI Bank needed a lifeline, it was again LIC that was called upon to fork out thousands of crores, regardless of whether it made any financial sense. Examples of such forced investments are numerous, most ending up as disastrous bets. It is also an open secret that LIC is used as a market stabiliser by the finance ministry during times of crisis and panic, even if it is at the cost of sacrificing its own interests. And therefore, while the franchise